Contracts Audit Implementation Plan

Presentation to the Audit Committee on 11/6/2025 at 4:30pm

2020 Contracts Audit Recommendations				Status		
#	**Abbreviated Recommendation**	**Response**	**Responsible Administrator / Manager**	**Status:**	**OIPA Comments**	**District Response:**
1	Re-evaluate internal controls to ensure all District staff who manage or work with contracts complete the mandatory contracting training course prior to the established deadline.	Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**
2	Maximize the benefit of the training course, by requiring the training course applicable for the contract term, to be completed by the required staff prior to initiating the contract.	Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**
2 a)	Consider changing the deadline for the required training course to August 1st of the applicable year.	Partly Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**

3	Develop and implement internal controls that will ensure a thorough and robust review and evaluation of the contracts performance is completed and documented prior to deciding whether or not a similar contract should be negotiated in the future	Agree	**Instructional Leadership, RESJ leadership**	**Completed**	There has been **substantial progress towards the implementation of this recommendation,** however additional work is necessary to confirm the implementation of this recommendation. OIPA Reviewed the RESJ Support Services Report posted in BoardBook as Supplemental Resources for the Board's work session on October 28, 2026 and noted the following: 1. Performance Reviews of the 2024/2025 school year, attached to the memo, were not completed in advance of the signing of the 2025/2026 school year contracts. Note: A modification to the timing of the performance review may be necessary. For example, the contracts for the 2025/2026 were signed in June 2025. The 2024/2025 contracts do not end until the end of June providing little to no time to evaluate the performance of the contract before re-contracting with the partner for the next year. One option could be to wait to sign the next year's contracts until August, using the month of July to complete the performance review. Another option could be to base the evaluation on the data from September 2025 - April 2026, complete the performance review using that data in the month of May, in advance of signing contracts in June. The value of a contract's performance review is only realized when the review is completed in time to be used the in decision-making process for re-contracting with the partner for similar services from one year to the next. 2. Performance Reviews did not include an analysis of each of the goals identified in the 2024/2025 contract. Note: We noted the Performance Reviews did a great job detailing attendance and behavior data. However, most partners had at least one goal related to academic improvement expectations for students participating in the programs and the data and analysis of the academic improvement expectations were not included were applicable for each of the contracts. For example, one contract stated 80% of students participating in the program will demonstrate improved scores on OSAS for 3rd grade Reading and 5th grade Math. No analysis of whether or not the partner made progress towards the goal, or met that goal was included in the Performance Review.	Performance Reviews rely on end of year data and can not be reasonably completed by June of each year. Moreover, with recent budget reductions, the department of research was eliminated and thus, there is not the same staff capacity to analyze individual student level goals connected to OSAS. We will work with partners to ensure that goals are aligned with staff evaluative capacity. Additionally, even though Performance Reviews occured after contracts were awarded, the RESJ team still non-renewed two contracts based on a lack of service provision to students and one contract because a partner went out of business. The team uses multiple criteria and not goal performance alone to determine non-renewal, most notably, whether or not a partner actually provided services and support to students.
3 a)	Update the contracting training course to include additional guidance and expectations related to review and evaluations	Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**
3 b)	Utilize the content of the Board Cover Memo to create a template for Contract Managers to document the review and evaluation for all contracts.	Agree	Jonathan	**On Target**	There has been **substantial progress towards the implementation of this recommendation**, however additional work is necessary to confirm the implementation of this recommendation. Per staff, the use of the Board Cover Memo was discontinued a couple of years ago because it was deemed repetitive of the scope document. Use of the content included in what was previously called the Board Cover Memo to document the review and evaluation was a suggestion because it already included a section to "Summarize data/outcomes from prior contract period (How do we know the contract was effective?)" and another section to "Describe any changes from prior year scope, new deliverables, or plan for improvement in this contract." Whether the district modifies the Board Cover Memo to serve as a review and evaluation template or creates a totally different template is up to the district. The recommendation to create and utilize a template to document the review and evaluation of contracts remains. Note: We reviewed the "Performance Review" attached to the memo which appears to be the template the district utilized to document the review and evaluation of each of the contracts. The "Performance Review" template was not adequate to ensure an evaluation of each of the goals identified in the contract (as detailed in the OIPA comments above related to recommendation 3). Additionally, the Performance Review template does not include a section to description of any changes from prior year scope, new deliverables, or plan for improvement in the contract. A carefully laid out template will support the contract manager by prompting them to include all of the required review and evaluation content needed in the decision-making process to determine whether or not to contract for the same or similar services again.	The RESJ Team did create a Performance Review template to document contract outcomes, although there does not appear to be agreement between the District and the Auditor on the format of the Performance Review. The District believes this recommendation has been met.

3 c)	Require the review and evaluation be reviewed and approved by the Contract Manager's supervisor and submitted to the P&C Department for record keeping.	Partly Agree	**RESJ Leadership** & **Instructional Leadership**	**On Target**	There has been **substantial progress towards the implementation of this recommendation**, however additional work is necessary to confirm the implementation of this recommendation. We reviewed the "Performance Reviews" attached to the memo and noted the contract manager identified in the Performance Review document is not the Contract Manager identified in the system as the Contract Manager for these contracts; and, there is no evidence of a supervisor's review of the Performance Review. In this situation, the memo was provided to the Board by Dr. Adams so it is reasonable to infer that Dr Adams reviewed and approved the Performance Review documents before including them in his memo. However, a memo may not always accompany a Performance Review so documenting evidence of the supervisor's review on the Performance Review document is important. We noted the "Performance Reviews" have not been uploaded into Cobblestone. Per the PPS Contract Management training: Contract Managers may delegate limited contract management activities, such as initial completion of the contract template or initial review of invoices to other staff. Note: Re-evaluation of who the contract manager is, may be necessary to support the implementation of this recommendation. The Contract Manager identified in the system and identified in the resolution listing the contracts requiring Board approval is typically the budget holder for the funds used to pay for the contract. In this situation, the budget holder and Contract Manager identified is Dr. Adams, the Chief Accountability and Equity Officer. In this situation, we would suggest identifying Business Operations Analyst II as the formal contract manager. Because the Business Operations Analyst II reports directly to Dr. Adams, Dr. Adams could provide the oversight the contract management's responsibilities performed by the Business Operations Analyst II, including signing off on the Performance Reviews as Business Operations Analyst II's supervisor. When Dr. Adams (who reports directly to the Superintendent) is identified as the Contract Manager providing oversight of the Contract Manager's responsibilities is not a reasonable expectation of the Superintendent. Careful consideration of who will be the Contract Manager is vital and why several of the other recommendations (#9, #17, and #18) were given.	Dr. Adams is not the contract manager. As shared with the Auditor previously, the Business Operations Analyst II is the contract manager and the Director of RESJ is her supervisor. Contract management is well within the scope of Business Operations Analyst II's position description. No documents reach the Board without multiple levels of review and approval, so the inference that these documents were approved is accurate. Perrformance Reviews were not scheduled to be uploaded into Cobblestone until after materials had been provided to the Board. These reviews will be uploaded into Cobblestone by November 15, 2025.
3 d)	d) Increase transparency by saving all review and evaluations in a central and accessible location so they can be easily accessed and reviewed by stakeholders	Partly Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**On Target**	Recommendation Outstanding: We noted the "Performance Review" documents have not been uploaded into Cobblestone.	Performance Reviews will be uploaded by Novermber 15, 2025.

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<td>4</td>
<td>Develop and implement internal controls that will ensure all contracts include appropriate and specific deliverables, performance measures, expected outcomes, how the performance of the contract will be measured, and reporting requirements tailored to the particular contract.</td>
<td>Agree</td>
<td>Instructional Leadership & RESJ leadership</td>
<td>Completed</td>
<td rowspan="4">Recommendation Outstanding:
We reviewed several of the 2025-2026 contracts and noted the contracts do not clearly identify the contract's performance measures, referred to as SMART goals. This is a reversal from the 2024-2025 contracts which did include SMART goals.

In our review, we noted the SOW template used for the 2025-2026 contracts had significant changes in section 3 when compared to the SOW template that is posted on the P&C web page and is required to be used for all Personal Service contracts for Student, Instructional, and Family Engagement Services Contracts. Section 3 of the SOW template posted on P&C website includes "3. Detailed Description of Goals and Activities" looks like this:

3. Detailed Description of Goals and Activities:

<table>
<tr><td>Goal #1: Example: Increase school attendance</td></tr>
<tr><td>Activities [Describe below the specific contract activities designed to help achieve the listed goal]</td></tr>
<tr><td>1.</td></tr>
<tr><td>2.</td></tr>
<tr><td>3.</td></tr>
<tr><td>Goal #2: Example: Reduce racial disparities in academic performance</td></tr>
<tr><td>Activities</td></tr>
<tr><td>1.</td></tr>
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The SOW for the 2025-2026 contracts modified section 3 says to provide a "General Overview of how your organization supports the district continuous improvement plan" and added a section titled "Annual Evidence Based Strategies, Measures and Action". We noted the content included in the modified SOW did not clearly identify SMART goals.

In the memo provided there is a section titled "What to expect for 2026." Which states the process for tracking goals and activities has been revised to create a more equitable, consistent approach aligned with District expectations. Community partners will now set goals connected to the District's continuous improvement plan and Board goals in four areas: attendance, literacy, mathematics, and 9th grade success. Partners' strategies have been written as theories of action, aligned with the Ideal Student Experience, to demonstrate measurable impact and show how their work supports these priority areas."

While we would expect minor adjustments to the goals identified in the 2024-2025 contracts, the 2025-2026 contracts completely abandon the SMART goals identified in the 2024-2025 contracts which were approved by the Board for four years. When a SOW has substantial changes from the original contract approved by the Board, the new contracts should require the Board to approve the updated SOW, which did not happen for the 2025-2026 contracts.

Further, the SMART goals identified in the 2024-2025 contracts were already targeted at attendance, literacy, mathematics and 9th grade success. Modifications to these goals to better align with the District's continuous improvement plan could have been made without abandoning the 2024-2025 goals and replacing them with general overviews and theories of action that do not clearly identify how the performance of the contract will be measured/determined.</td>
<td rowspan="4">The District strongly disagrees with this outstanding recommendation and language. The district met this SMART goal recommendation in June 2024 and therefore, believes this should be met. For 2025-2026, scopes of work were not abandoned or changed. In keeping with best practices, the RESJ team worked with potential partners to align their outcomes with the first ever District Continuous Improvement Plan. Schools are asked to align with this plan and partners also needed to meet this expectation. In keeping with this alignment, goals are written as theories of action. Moving forward RESJ will ensure that all partners' "Goals written as a theory of action" contain percentages, as the team recognizes that not all current scopes have this.</td>
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<td>4 a)</td>
<td>Require the use of the Specialized SOW template</td>
<td>Agree</td>
<td>Emily Courtnage, Director of Purchasing & Contracting</td>
<td>Completed</td>
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<td>4 b)</td>
<td>Require the appropriateness of the specific deliverables, performance measures, expected outcomes, how the performance will be measured, and reporting requirements tailored to the particular contract be reviewed and</td>
<td>Partly Agree</td>
<td>Jonathan Garcia</td>
<td>On Target</td>
</tr>
<tr>
<td>4 c)</td>
<td>Increase transparency by saving the completed Specialized SOW template in a central and accessible location so they can be easily accessed and reviewed by stakeholders.</td>
<td>Agree</td>
<td>Emily Courtnage, Director of Purchasing & Contracting</td>
<td>Completed</td>
<td>Confirmed</td>
<td>NA</td>
</tr>
</table>

5	Provide an update to the Board to communicate the District's phased implementation of the mandatory training requirements for contractors and the delay in full implementation.	Partly Agree	Legal - Mary Kane	Completed	NA	NA
6	Develop and implement internal controls to ensure all mandatory training courses are included in all contracts that require interactions with students.	Partly Agree	Legal - Mary Kane and Emily Courtnage, Director of Purchasing & Contracting	Completed	Confirmed	NA
6 a)	District Management develop detailed guidance and expectations related to the mandatory training requirement for contracts that require contractors and their staff to interact with PPS students.	Partly Agree	Legal - Mary Kane	Completed	Confirmed	NA
6 b) 6 c)	The P&C department communicate the detailed guidance and expectations to Contract Managers throughout the District Update the contracting training course to include guidance and expectations related to the inclusion of the mandatory training courses in applicable contracts; including if or when exceptions can be made and the process for obtaining an exception.	Agree Agree	Emily Courtnage, Director of Purchasing & Contracting Emily Courtnage, Director of Purchasing & Contracting	Completed Completed	Confirmed Confirmed	NA NA
6 d)	Establish a clear and mandatory channel of communication between the P&C department and Contract Managers (in addition to the annual contracting training course) to communicate and distribute guidance and expectation for Contract Managers on topics related to contracting	Disagree	Emily Courtnage, Director of Purchasing & Contracting	Completed	NA	NA
7	7. Develop and implement internal controls to ensure the District obtains evidence that the contractors and their employees have completed the mandatory training course as required in the contract.	Agree	Legal - Mary Kane and Emily Courtnage, Director of Purchasing & Contracting	Completed	Confirmed	NA
7 a)	Develop adequately detailed guidance and expectations and communicate that content with Contract Managers.	Agree	Legal - Mary Kane and Emily Courtnage, Director of Purchasing & Contracting	Completed	Confirmed	NA
7 b)	Include the list of mandatory training courses in applicable RFPs (or ITB).	Agree	Emily Courtnage, Director of Purchasing &	Completed	Confirmed	NA

7 c)	Consult with the Office of Technology & information Services (OTIS) to develop a streamlined process for the activation of the necessary PPS email addresses for the contractor and their staff to access the training courses in Pepper PD.	Agree	**Legal - Mary Kane**	**Completed**	**Confirmed**	**NA**
8	8. Develop and implement internal controls that will ensure: • Evidence of deliverables identified in the SOW are achieved/delivered, and • Reports obtained by the District as evidence of deliverables include all required information, agree with District data, and all required reports are obtained (i.e. all four of the four reports are obtained).	Agree	**Instructional Leadership & RESJ leadership**	**On Target**	Recommendation Outstanding We obtained the worksheet used by staff to track the receipt of the deliverables identified in the SOW. In this situation, the deliverables are the quarterly reports. In the section of the worksheet where staff document the date the quarterly reports are received, there were comments stating they did not received the quarterly report, or that the quarterly report received did not include the narrative as required by the contract. Of the 23 contracts listed on the worksheet, it appears that staff have documented 15 were missing one or more of the required quarterly reports.	The District recognizes this issue and will continue to work with partners to ensure that quarterly reports are completed. RESJ staff have been hyper-focused on whether or not services are being provided to students via communications with building leaders and site visits.
9	We also recommend the District management develop and implement internal controls that will ensure contract management responsibilities are being performed.	Agree	**Instructional Leadership & RESJ leadership**	**On Target**	OIPA Request: Please provide a narrative on how the district ensures contract management responsibilities are being performed.	Contract management responsibilities are covered in supervisory meetings (one-on-ones) with the contract manager and unscheduled check-ins on partner implementation, including site visits.
10	We recommend the District develop and implement internal controls that will ensure the District has received a signed ROI form prior to releasing any student information and continue to prioritize obtaining ROI forms, until a signed ROI form is obtained for each student.	Partly Agree	**Legal - Mary Kane** and potentially others	**Completed**	**Confirmed**	**NA**
11	We recommend the District perform and document an analysis of the District's obligation to secure student information from unauthorized re-disclosure under FERPA laws.	Agree	**Legal - Mary Kane**	**Completed**	**Confirmed**	**NA**
11 a)	We recommend the District consider specifically addressing each of the examples identified in the finding in its analysis.	Agree	**Legal - Mary Kane**	**Completed**	**Confirmed**	**NA**
12	We recommend the District develop a clear criteria for determining when a signed ROI form is required.	Agree	**Legal - Mary Kane**	**Completed**	**Confirmed**	**NA**
13	Develop and implement internal controls that will ensure the consistent application of a signed ROI form in applicable contracts.	Agree	**Legal - Mary Kane** and **Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**
				Completed	**Confirmed**	**NA**

13 a)	We recommend the District consider providing Contract Managers with training that will detail guidance and expectations to ensure they have an adequate understanding of the criteria for which a signed ROI form is required and the District's obligation to secure student information from unauthorized re- disclosure under FERPA laws.	Partly Agree	**Legal - Mary Kane**	**Completed**	**Confirmed**	**NA**
14	We recommend the District review contract payment processes and procedures for process improvements and efficiencies to ensure payments to contractors are made timely as required in the contract. Additionally, we recommend the District document the date the invoice was received.	Agree	**Tracy Pinder, Director of Financial Services**	**Completed**	OIPA did not have a chance to confirm this one yet. We will follow up on it before the next Audit Committee meeting.	
15	We also recommend the District consider centralizing the receipt of contract invoices.	Partly Agree	**Tracy Pinder, Director of Financial Services**	**Completed**	**Confirmed**	**NA**
16	To ensure contract management responsibilities are being performed as expected, we recommend the District develop and communicate detailed guidance and expectation related to contract management responsibilities.	Partly Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**
16 a)	a) Identify personal services contracts for student services as complex contracts and increase requirements for those contracts to include: o Develop an additional contract management training course that Contract Managers of complex contracts are required to complete prior to initiating the contract. o Require complex contracts include a contract administration plan (similar to that used by the State of Oregon) that is review and approved by the Contract Manager's supervisor and submitted to P&C for recordkeeping.	Partly Agree	**Emily Courtnage, Director of Purchasing & Contracting**	**Completed**	**Confirmed**	**NA**

17	Develop and communicate oversight of contract management responsibilities, including how performance of contract management responsibilities will be evaluated. To achieve this, we recommend the District consider updating position descriptions to include contract management responsibilities and include an evaluation of the performance of these responsibilities in the staff member's annual performance	Partly Disagree	Jonathan Garcia	**On Target**	OIPA Request: Please provide a narrative describing how oversight of contract management responsibilities takes place.	Oversight of contract management responsibilities takes place during supervisory meetings between both the Business Operations Analyst II and the Director of RESJ and Dr. Adams and the Director of RESJ, during one-on-one meetings. During these meetings, matters pertaining to the operations of the department and roles and responsibilities are frequently discussed and reviewed.
18	Prior to assigning a Contract Manager, supervisors of the proposed Contract Manager should evaluate the positions' other roles and responsibilities to ensure those assigned contract management responsibilities have adequate time to perform the contract management responsibilities while also performing the roles and responsibilities in their position descriptions	Partly Disagree	**Instructional Leadership & RESJ leadership**	**Completed**	OIPA Request: Please provide a narrative from the supervisor of a contract manager that describes the consideration/evaluation of the roles and responsibilities of the contract manager, that ensures those assigned contract management responsibilities have adequate time to perform the contract management responsibilities while also performing the roles and responsibilities in their position descriptions	The District finds this request to be unnecessary given that contract responsibilities are clearly included in the current contract manager's position description per Human Resources. Contract Management is a core responsibility of the Business Operations Analyst II's role. The District believes that it has met this recommendation and that this finding should be closed.
19	We recommend the District take additional steps to implement a comprehensive and systematic approach to improve performance management of personal service contracts. To achieve this we recommend the District consider scaling the District's comprehensive and systematic approach to improve performance management of personal service contracts identified by the District as RESJ partnership contracts to include all of the District's personal service contracts with educational	Partly Agree	**Instructional Leadership & RESJ leadership**	**Completed**	**Confirmed**	**NA**
20	To address the SoS audit's call for increased transparency and oversight for the District's contracts we recommend the District consider publicly posting the review and evaluation of contracts (via the Board Cover Memo) and the SOW for contracts listed on the Board agenda for Board approval. This could increase transparency in contracting decisions while still safeguarding the majority of the content related to contractor	Partly Agree	**Jonathan**	**On Target**	OIPA did not have a chance to confirm this one yet. We will follow up on it before the next Audit Committee meeting.	This was provided in June 2024 when RESJ contracts were last approved for a four-year term. Documents were uploaded into Board Book and contracts were voted upon by the Board. The District believes that it has met this requirement.